Kioxia Holdings (285A.T)

Earnings Review: 1Q broadly in line, share buyback a surprise; sign of confidence in future earnings growth and cash flow generation capabilities; reiterate Buy

285A.T	12m Price Target: **¥116,000**	Price: **¥39,500**	Upside: **193.7%**

BUY

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1Q effectively in line; 2Q guidance likely to fulfill investor expectations

Kioxia's 1Q non-GAAP operating profits, announced after the July 31 close, came in at ¥1.33 tn, a little below GSe of ¥1.42 tn / Bloomberg consensus of ¥1.37 tn, but broadly within our expectations when considering provisions for special employee bonuses (c.¥50 bn for the year) and the delay of some shipments scheduled for the end of the quarter (on an IFRS basis, the company also recorded expenses totaling ¥56 bn for two items—provision for litigation losses and stock-based compensation expenses). 2Q guidance for non-GAAP operating profits is ¥1.9 tn, close to our estimate of ¥1.97 tn and the Bloomberg consensus of ¥1.95 tn. Considering that expectations for NAND price increases from 2Q onward appear to have declined with the recent correction in the share price, we believe this level of profit guidance is likely to fulfill investor expectations. Along with 2Q results, Kioxia announced capital policies including the launch of a share buyback of up to ¥800 bn/30 mn shares (5.5% of shares outstanding) and a stock split (3-for-1 with a record date of September 30).

Key takeaways from the results briefing

(1) **1Q results/2Q outlook:** 1Q volume slightly missed (we estimate by 2-3%) due in part to some shipments slipping into 2Q. For 2Q, management guides for a 34% qoq increase in USD-based revenue, and expects the contribution from price increases to be greater than that from volume. At present, prices have been determined for c.50% of 2Q sales volume, while the remainder is under negotiation.

(2) **Supply/demand balance:** NAND demand for inference/agentic AI is increasing significantly but is still in the launch phase, and Kioxia expects very strong demand to continue and exceed supply through CY27. Regarding capex, the company said it will continue to

Key Data

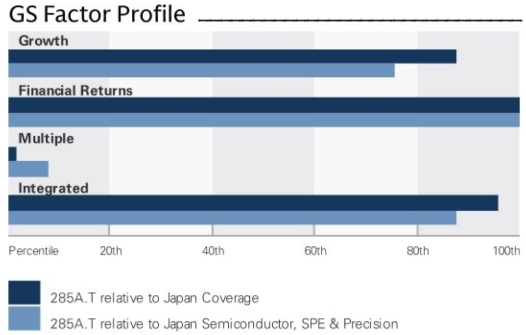
Market cap: ¥21.6tr / $135.4bn
Enterprise value: ¥20.2tr / $126.6bn
3m ADTV: ¥2.7tr / $16.9bn
Japan
Japan Semiconductor, SPE & Precision
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	3/26	3/27E	3/28E	3/29E
Revenue (¥ bn)	2,337.6	10,405.2	13,874.3	16,364.1
Op. profit (¥ bn) New	**870.4**	**8,286.5**	**11,371.8**	**13,463.9**
Op. profit (¥ bn) Old	870.4	8,390.4	11,069.4	12,984.5
Op. profit CoE (¥ bn)	–	–	–	–
EPS (¥) New	**1,024.1**	**10,827.8**	**14,918.7**	**17,669.1**
EPS (¥) Old	1,024.1	10,725.0	14,170.8	16,628.1
P/E (X)	8.0	3.6	2.6	2.2
P/B (X)	3.2	3.5	1.6	1.0
CROCI (%)	25.5	103.6	102.8	104.8

	6/26	9/26E	12/26E	3/27E
EPS (¥)	1,539.9	2,499.7	3,161.4	3,626.8

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

BUY

Kioxia Holdings (285A.T)

Rating since May 31, 2026

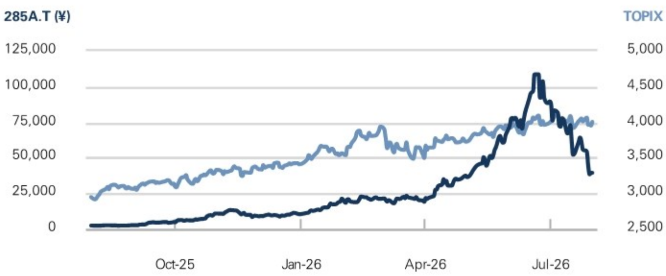
Ratios & Valuation

	3/26	3/27E	3/28E	3/29E
P/E (X)	8.0	3.6	2.6	2.2
P/B (X)	3.2	3.5	1.6	1.0
FCF yield (%)	13.8	18.3	34.1	42.5
EV/EBITDAR (X)	4.4	2.3	1.1	0.4
EV/EBITDA (excl. leases) (X)	4.3	2.3	1.1	0.4
CROCI (%)	25.5	103.6	102.8	104.8
ROE (%)	51.9	157.2	82.4	53.1
Net debt/equity (%)	55.9	(23.7)	(56.7)	(69.5)
Net debt/equity (excl. leases) (%)	41.2	(26.4)	(57.7)	(70.0)
Interest cover (X)	9.0	168.4	563.0	727.8
Days inventory outst, sales	59.8	17.3	16.7	16.7
Receivable days	70.2	63.2	90.2	95.3
Days payable outstanding	162.3	151.4	160.6	164.0
DuPont ROE (%)	39.6	97.1	59.5	42.5
Turnover (X)	0.6	1.3	0.9	0.7
Leverage (X)	2.6	1.3	1.2	1.1
Gross cash invested (ex cash) (¥)	4,552.4	7,195.8	8,594.8	9,741.0
Average capital employed (¥)	1,661.8	3,175.9	5,013.8	6,147.8
BVPS (¥)	2,562.0	11,151.8	25,070.5	41,539.6

Growth & Margins (%)

	3/26	3/27E	3/28E	3/29E
Total revenue growth	37.0	345.1	33.3	17.9
EBITDA growth	54.9	629.3	36.2	18.4
EPS growth	97.0	957.3	37.8	18.4
DPS growth	NM	NM	25.0	20.0
EBIT margin	37.2	79.6	82.0	82.3
EBITDA margin	50.6	82.9	84.7	85.0
Net income margin	23.7	55.5	57.3	57.6

Price Performance



	3m	6m	12m
Absolute	5.2%	84.9%	1,494.0%
Rel. to the TOPIX	(2.2)%	64.6%	1,070.7%

Source: FactSet. Price as of 31 Jul 2026 close.

Income Statement (¥ bn)

	3/26	3/27E	3/28E	3/29E
Total revenue	2,337.6	10,405.2	13,874.3	16,364.1
Cost of goods sold	(1,235.5)	(1,716.3)	(2,078.6)	(2,403.5)
SG&A	(146.6)	(243.4)	(286.3)	(329.9)
R&D	(89.3)	(129.7)	(149.6)	(178.8)
Other operating inc./(exp.)	4.0	(29.3)	12.0	12.0
EBITDA	**1,183.2**	**8,629.0**	**11,751.0**	**13,912.5**
Depreciation & amortization	(312.8)	(342.5)	(379.2)	(448.6)
EBIT	**870.4**	**8,286.5**	**11,371.8**	**13,463.9**
Net interest inc./(exp.)	(87.2)	(42.8)	(13.3)	(11.1)
Income/(loss) from associates	0.9	1.2	1.3	1.4
Pre-tax profit	**784.1**	**8,244.9**	**11,359.8**	**13,454.2**
Provision for taxes	(229.6)	(2,473.5)	(3,407.9)	(4,036.3)
Minority interest	–	–	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**554.5**	**5,771.4**	**7,951.9**	**9,417.9**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**554.5**	**5,771.4**	**7,951.9**	**9,417.9**
EPS (basic, pre-except) (¥)	**1,024.1**	**10,827.8**	**14,918.7**	**17,669.1**
EPS (diluted, pre-except) (¥)	**1,024.1**	**10,827.8**	**14,918.7**	**17,669.1**
EPS (basic, post-except) (¥)	**1,024.1**	**10,827.8**	**14,918.7**	**17,669.1**
EPS (diluted, post-except) (¥)	**1,024.1**	**10,827.8**	**14,918.7**	**17,669.1**
DPS (¥)	–	800.0	1,000.0	1,200.0
Div. payout ratio (%)	0.0	7.4	6.7	6.8

Balance Sheet (¥ bn)

	3/26	3/27E	3/28E	3/29E
Cash & cash equivalents	470.7	2,040.4	8,157.9	15,918.9
Accounts receivable	660.6	2,940.3	3,920.6	4,624.1
Inventory	412.6	575.0	694.0	804.3
Other current assets	74.0	74.0	74.0	74.0
Total current assets	**1,617.8**	**5,629.6**	**12,846.4**	**21,421.3**
Net PP&E	1,055.3	1,148.6	1,239.4	1,280.8
Net intangibles	584.9	584.1	584.1	584.1
Total investments	227.3	228.5	229.8	231.2
Other long-term assets	204.8	259.1	485.2	752.9
Total assets	**3,690.1**	**7,849.8**	**15,384.8**	**24,270.2**
Accounts payable	594.9	829.0	1,000.7	1,159.7
Short-term debt	175.5	25.4	25.4	25.4
Short-term lease liabilities	43.9	30.1	26.6	22.0
Other current liabilities	283.7	283.7	283.7	283.7
Total current liabilities	**1,098.0**	**1,168.2**	**1,336.3**	**1,490.8**
Long-term debt	872.1	446.8	421.4	396.0
Long-term lease liabilities	161.7	131.6	105.0	83.0
Other long-term liabilities	159.2	159.2	159.2	159.2
Total long-term liabilities	**1,193.0**	**737.5**	**685.5**	**638.2**
Total liabilities	**2,291.0**	**1,905.7**	**2,021.9**	**2,128.9**
Preferred shares	–	–	–	–
Total common equity	**1,398.9**	**5,943.9**	**13,362.8**	**22,141.1**
Minority interest	**0.2**	**0.2**	**0.2**	**0.2**
Total liabilities & equity	**3,690.1**	**7,849.8**	**15,384.8**	**24,270.2**
Net debt, adjusted	576.9	(1,568.3)	(7,711.1)	(15,497.5)

Cash Flow (¥ bn)

	3/26	3/27E	3/28E	3/29E
Net income	554.5	5,771.4	7,951.9	9,417.9
D&A add-back	312.8	342.5	379.2	448.6
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	(400.3)	(2,208.0)	(927.7)	(654.8)
Other operating cash flow	149.5	(55.5)	(227.4)	(269.1)
Cash flow from operations	**616.5**	**3,850.4**	**7,176.0**	**8,942.6**
Capital expenditures	(0.5)	(0.5)	(0.5)	(0.5)
Acquisitions	–	–	–	–
Divestitures	–	–	–	–
Others	(221.0)	(434.5)	(469.5)	(489.5)
Cash flow from investing	**(221.5)**	**(435.0)**	**(470.0)**	**(490.0)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	–	(426.4)	(533.0)	(639.6)
Inc/(dec) in debt	(80.8)	(619.4)	(55.5)	(52.0)
Other financing cash flows	(11.5)	(800.0)	0.0	0.0
Cash flow from financing	**(92.3)**	**(1,845.8)**	**(588.5)**	**(691.6)**
Total cash flow	**302.8**	**1,569.7**	**6,117.5**	**7,761.0**
Free cash flow	616.0	3,849.9	7,175.5	8,942.0

Source: Company data, Goldman Sachs Research estimates.

make disciplined investments with an emphasis on profitability rather than chasing market share, but if the demand outlook were to be revised up substantially, it has the flexibility to undertake capex in line with market conditions.

(3) **Long-term agreements (LTAs):** Management views LTAs as an important strategy from the three perspectives of long-term demand visibility, backing for growth investments, and technical engagement with key customers. The company said it is making steady progress toward a 50% LTA coverage ratio for CY28 shipment volume, and in some cases talks are beginning for periods from CY28 onward.

(4) **Shareholder returns:** Following the recent share price decline, the company said it resolved to conduct a share buyback, judging that a good opportunity had arrived to improve capital efficiency. Regarding cash flow, management's policy remains unchanged: after investing in capex, R&D, and human capital (returns to employees), it will allocate c.50% of surplus cash flow to shareholder returns. However, with cash expected to accumulate steadily from 2Q, Kioxia commented that it is exploring the possibility of additional shareholder returns, including dividends.

Maintaining our view that earnings can expand at higher profit levels, unlike in past cycles

In the wake of 1Q results, we lower our FY3/27 operating profit estimate by 1% to factor in various provisions, but we raise our FY3/28-FY3/29 operating profit estimates by 3%/4%, mainly due to a change in our USD/JPY assumption to 160, from 155. We view management's decision to execute a share buyback just after a rapid correction in Kioxia's share price as a sign of its confidence in continued earnings growth and cash flow generation ahead. We also believe this move is likely to lead to Kioxia gaining a growing reputation as a management team capable of taking flexible action in the capital markets.

Although Kioxia's FY3/28 P/E has declined to around 3X, we continue to see NAND supply/demand tightening through 2027, and we believe higher profit levels compared to previous cycles are sustainable. We expect the share price multiple to expand as the market comes to recognize that profit levels over the next 2-3 years will be higher than its expectations as well as sustainable. We maintain our 12-month target price of ¥116,000 and reiterate our Buy rating.

Exhibit 1: Kioxia Holdings: Earnings summary

Kioxia HD (285A)				
(JPY mn)		GSE	GSE	GSE
Consolidated income statement	3/2026	3/2027	3/2028	3/2029
Sales	2,337,628	10,405,200	13,874,300	16,364,100
Non-GAAP operating profits	876,170	8,343,300	11,371,800	13,463,900
IFRS operating profits	870,369	8,286,500	11,371,800	13,463,900
Pre-tax profits	784,095	8,244,900	11,359,800	13,454,200
Non-GAAP net profits	559,638	5,816,200	7,951,900	9,417,900
IFRS net profits	554,496	5,771,400	7,951,900	9,417,900
Non-GAAP EBITDA	1,187,924	8,685,000	11,751,000	13,912,500
IFRS EBITDA	1,183,195	8,629,000	11,751,000	13,912,500
YoY % change				
Sales	*+37%*	*+345%*	*+33%*	*+18%*
Non-GAAP operating profits	*+93%*	*+852%*	*+36%*	*+18%*
Non-GAAP EBITDA	*+55%*	*+631%*	*+35%*	*+18%*
Non-GAAP Net profits	*+110%*	*+939%*	*+37%*	*+18%*
Margins				
Non-GAAP operating profits	37.5%	80.2%	82.0%	82.3%
IFRS operating profits	37.2%	79.6%	82.0%	82.3%
Non-GAAP EBITDA	50.8%	83.5%	84.7%	85.0%
IFRS EBITDA	50.6%	82.9%	84.7%	85.0%
Pre-tax profits	33.5%	79.2%	81.9%	82.2%
Non-GAAP net profits	23.9%	55.9%	57.3%	57.6%
IFRS net profits	23.7%	55.5%	57.3%	57.6%
R&D	141,100	200,000	230,000	275,000
(As a % of revenues)	6.0%	1.9%	1.7%	1.7%
D&A	312,826	342,500	379,200	448,600
(As a % of revenues)	13.4%	3.3%	2.7%	2.7%
Gross capex	283,700	450,000	470,000	490,000
(As a % of revenues)	12.1%	4.3%	3.4%	3.0%
Net capex	221,000	435,000	470,000	490,000
(As a % of revenues)	9.5%	4.2%	3.4%	3.0%
EPS(JPY)	1,024.1	10,827.8	14,918.7	17,669.1
DPS(JPY)	0.0	800.0	1,000.0	1,200.0
BPS(JPY)	2,561.7	11,151.5	25,070.2	41,539.3
Sales by product				
SSD & storage	1,362,638	7,188,515	9,948,966	11,999,290
Smart device	759,978	2,978,271	3,696,389	4,135,800
Others	215,012	238,462	228,960	228,960
Total	**2,337,628**	**10,405,200**	**13,874,300**	**16,364,100**
Sales related data				
USD/JPY				
Shipment volume (Capacity basis, QoQ)				
ASP (USD, QoQ)				

Kioxia HD (285A)										
(JPY mn)						GSE	GSE	GSE	CoE	CoE
Consolidated income statement	3/2026 1Q	3/2026 2Q	3/2026 3Q	3/2026 4Q	3/2027 1Q	3/2027 2Q	3/2027 3Q	3/2027 4Q	3/2027 1Q	3/2027 2Q
Sales	342,799	448,346	543,631	1,002,852	1,767,117	2,468,700	3,024,500	3,144,900	1,750,000	2,390,000
Non-GAAP operating profits	45,214	87,163	144,654	599,139	1,326,200	1,959,900	2,476,900	2,580,283	1,300,000	1,900,000
IFRS operating profits	44,899	85,921	142,754	596,795	1,270,017	1,959,700	2,476,700	2,580,083	1,298,000	1,890,000
Pre-tax profits	27,294	56,716	121,740	578,345	1,234,720	1,957,000	2,475,000	2,578,180		
Non-GAAP net profits	18,507	40,436	89,519	411,176	887,000	1,370,100	1,732,700	1,826,400	870,000	1,280,000
IFRS net profits	18,284	40,662	87,810	407,740	842,165	1,369,900	1,732,500	1,826,835	869,000	1,270,000
Non-GAAP EBITDA	124,886	165,763	221,982	675,293	1,402,100	2,039,700	2,566,700	2,676,483		
IFRS EBITDA	124,886	164,773	220,334	673,202	1,346,117	2,039,700	2,566,700	2,676,483		
YoY % change										
Sales	*-20%*	*-7%*	*+21%*	*+189%*	*+415%*	*+451%*	*+456%*	*+214%*	*+404%*	*+589%*
Non-GAAP operating profits	*-64%*	*-48%*	*+18%*	*+1499%*	*+2833%*	*+2149%*	*+1612%*	*+331%*	*+3370%*	*+4972%*
Non-GAAP EBITDA	*-39%*	*-32%*	*+11%*	*+489%*	*+1023%*	*+1130%*	*+1056%*	*+296%*		
Non-GAAP Net profits	*-74%*	*-62%*	*+17%*	*+433%*	*+4693%*	*+3288%*	*+1836%*	*+344%*	*+1027%*	*+1558%*
Margins										
Non-GAAP operating profits	13.2%	19.4%	26.6%	59.7%	75.0%	79.4%	81.9%	82.0%	74.3%	79.5%
IFRS operating profits	13.1%	19.2%	26.3%	59.5%	71.9%	79.4%	81.9%	82.0%	74.2%	79.1%
Non-GAAP EBITDA	36.4%	37.0%	40.8%	67.3%	79.3%	82.6%	84.9%	85.1%		
IFRS EBITDA	36.4%	36.8%	40.5%	67.1%	76.2%	82.6%	84.9%	85.1%		
Pre-tax profits	8.0%	12.7%	22.4%	57.7%	69.9%	79.3%	81.8%	82.0%		
Non-GAAP net profits	5.4%	9.0%	16.5%	41.0%	50.2%	55.5%	57.3%	58.1%	49.7%	53.6%
IFRS net profits	5.3%	9.1%	16.2%	40.7%	47.7%	55.5%	57.3%	58.1%	49.7%	53.1%
R&D	34,479	35,731	34,277	36,613	39,400	50,600	50,000	60,000		
(As a % of revenues)	10.1%	8.0%	6.3%	3.7%	2.2%	2.0%	1.7%	1.9%		
D&A	79,987	78,852	77,580	76,407	76,100	80,000	90,000	96,400		
(As a % of revenues)	23.3%	17.6%	14.3%	7.6%	4.3%	3.2%	3.0%	3.1%		
Gross capex	53,577	91,473	70,933	67,717	52,400	100,000	120,000	177,600		
(As a % of revenues)	15.6%	20.4%	13.0%	6.8%	3.0%	4.1%	4.0%	5.6%		
Net capex	34,107	72,768	61,327	52,798	39,100	100,000	120,000	175,900		
(As a % of revenues)	9.9%	16.2%	11.3%	5.3%	2.2%	4.1%	4.0%	5.6%		
EPS(JPY)	33.9	75.3	162.4	752.4	1,539.9	2,499.7	3,161.4	3,626.8		
DPS(JPY)										
BPS(JPY)										
Sales by product										
SSD & storage	217,411	244,559	300,375	600,293	1,174,719	1,688,659	2,077,894	2,247,243		
Smart device	79,040	157,300	186,291	337,347	525,656	722,777	889,377	840,461		
Others	46,348	46,487	56,965	65,212	66,742	57,240	57,240	57,240		
Total	**342,799**	**448,346**	**543,631**	**1,002,852**	**1,767,117**	**2,468,700**	**3,024,500**	**3,144,900**	**1,750,000**	**2,390,000**
Sales related data										
USD/JPY	145	147	153	155	160	160	160	160	159	162
Shipment volume (Capacity basis, QoQ)	Flat	+High-30%	+MSD%	▲10%	+LSD%	+13%	+7%	-1%		
ASP (USD, QoQ)	+HSD%	▲LSD%	+Low-teens%	+2x+	+70%	+25%	+15%	+5%		

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis - Kioxia Holdings

We are Buy rated on Kioxia Holdings, the world's third-largest maker of NAND flash memory. We find Kioxia's relatively high profit margins (stemming from strong cost competitiveness) and gradual progress in developing products for data centers, a segment expected to see high growth within the NAND market, as positive. NAND supply/demand is tightening due to rising demand for enterprise SSDs (eSSDs) for servers, tightness in HDDs (which are also used for storage applications), and concerns over US export controls on production equipment (for fabs of major South Korean memory makers located in China), resulting in continued increases in NAND prices in CY27. Although we maintain our view that the structure of the NAND market itself has not changed (i.e., cyclicality remains as there are still more players compared to the HDD and DRAM markets, which are dominated by 2-3 major companies), we believe higher profit levels compared to previous cycles can be sustained, and the market will recognize that profit levels over the next 2-3 years will be higher than its expectations as well as sustainable. This view is based on (1) the possibility that tight supply/demand will continue into CY28, as AI demand remains strong while near-term supply increases are limited, (2) major memory makers continuing to prioritize investment in DRAM, and (3) a path having been paved for procuring DRAM (used in eSSDs).

Price Target Risks and Methodology - Kioxia Holdings

Valuation methodology: Our 12-month target price of ¥116,000 is based on the correlation between P/B and the average of FY3/27E-FY3/28E ROE (implies FY3/28E P/E 7.8X, P/B 4.6X).

Key risks: A slowdown in AI investment centered on hyperscalers, the rise of NAND players in China, decline in profit margins due to cost increases or fluctuations in capacity utilization, a sharp appreciation of the yen against the US dollar, slowdown in NAND demand for non-AI applications.

Disclosure Appendix

Reg AC

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Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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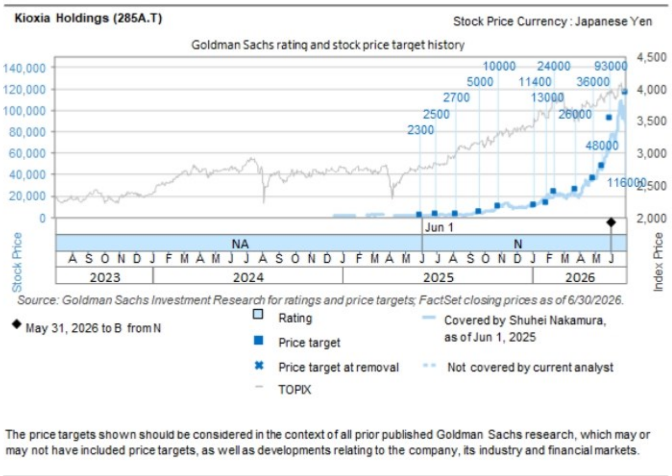
Price target and rating history chart(s)



Target price history table(s)

Kioxia Holdings (285A.T)

Date of report	Target price (¥)	Closing price (¥)
30-Jun-26	116,000	89,680
31-May-26	93,000	65,850
15-May-26	48,000	44,450
28-Apr-26	36,000	36,320
25-Mar-26	26,000	22,445
12-Feb-26	24,000	21,175
30-Jan-26	13,000	21,360
06-Jan-26	11,400	11,600
29-Oct-25	10,000	10,080
23-Sep-25	5,000	4,820
08-Aug-25	2,700	2,364
30-Jun-25	2,500	2,503
01-Jun-25	2,300	2,099

Price targets shown in table(s) are unadjusted for corporate actions.

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